

1.

The UK has seen significant changes in its pattern of trade with the rest of the world in terms of what we trade and with whom. The UK's current account deficit widened from £29.1bn in 2011 to £100.2bn in 2015. The deficit in 2015 was 5.4% of GDP, the largest annual deficit as a percentage of GDP since records began in 1948.

Evaluate the measures that might be taken to reduce a deficit on the current account of the UK's balance of payments.

[25 marks]

2.

In 2014, the UK's contributions to the European Union (EU) budget rose by £2.7bn, making it the second largest net contributor. However, it is argued that the UK benefits much more from the trade and the job creation that EU membership brings.

Evaluate the extent to which individuals and firms in the UK benefit from membership of the EU.

[25 marks]

3.

International trade Extract B (lines 12–13) states 'The Government last night released research suggesting a US-EU agreement sweeping away trade barriers would particularly benefit the automotive, financial and chemical sectors.'

With the help of a diagram, explain the extent to which the removal of a tariff might affect the volume of imports into the UK.

[9 marks]

4.

Explain the phrase 'devaluation of the exchange rate' (**Extract B**, line 12) **and**, with the help of a diagram, analyse how a devaluation of the Chinese currency (the yuan) may affect economic growth in the UK.

[9 marks]

5.

Explain how the data in **International trade Extract A** show that the UK is having more success in trading goods with the rest of the world than with Europe.

[4 marks]

6.

International trade

Extract C: China and Europe risk trade war

China this week responded to EU anti-dumping tariffs on solar panels with a levy on European wine. However, by attacking wine producers, Beijing has potentially turned a straightforward dispute over state subsidies between Germany and China into a full-blown European trade war.	1
France has effectively been targeted in retaliation for a levy designed to protect German manufacturers in what appears to be a deliberate attempt to increase tensions within the EU. In doing so, experts said that China, which is relatively new to the politics of global trade, has demonstrated smart tactics.	5
The danger is that China may decide to target other seemingly innocent parties if the row escalates, and that might mean the UK. Increased protectionism could be damaging as the UK is placing much of its hope for export success on the growing Chinese market.	10
In the last five years, UK goods exports to China have virtually doubled to £15.9bn and, three years ago, David Cameron set a \$30bn (£20bn) target by 2015 as part of a bilateral deal with Beijing. Including Hong Kong, China is now the UK's fifth largest net trading partner.	
However, China's influence in the UK stretches wider. At the end of 2011, foreign direct investment into the UK from China totalled £1.3bn, the second largest in the EU after Germany. In the last six months alone, China's telecoms giant Huawei has announced plans to invest £1.3bn in a new plant while ABP (a large Chinese investment group), plans to spend £1bn developing the Royal Albert Dock in London.	15
The Government also hopes to attract Chinese money to invest in UK infrastructure as part of George Osborne's 'Plan for Growth'. In other words, China is a key part of the Government's economic recovery plan.	20

Source: ©Telegraph Media Group Ltd 2013

7.

International trade

Extract B: Transatlantic free trade?

David Cameron today confronted his critics by making the positive case for continuing European Union membership as he held talks with President Barack Obama over a giant US-EU trade deal that could provide a £10bn annual boost to the UK economy.	1
With his party in renewed turmoil over Europe, the Prime Minister sought to reassure the White House (where senior figures in the Obama administration have insisted they regard the UK as a crucial member of the union) that the UK are not looking to leave the EU.	5
The planned agreement would establish a free trade area between the world's two largest trading blocs, creating a transatlantic market of 800 million consumers.	
Writing in today's Wall Street Journal, Mr Cameron says: "This deal could add as much as £10bn to the UK economy and £63bn to US GDP. But the rest of the world would benefit too, with gains that could generate €100bn (£84bn) worldwide".	10
The Government last night released research suggesting a US-EU agreement sweeping away trade barriers would particularly benefit the automotive, financial and chemical sectors. It claimed the deal could be worth £380 a year for each British family.	
Karel de Gucht, the European Commissioner for Trade, has cited the deal as a prime reason for the UK staying in the EU, telling The Independent last week that it would be "clear madness" for the UK to leave in light of such a deal.	15

8.

In 2014, the UK's contributions to the European Union (EU) budget rose by £2.7bn, making it the second largest net contributor. However, it is argued that the UK benefits much more from the trade and the job creation that EU membership brings.

Explain how membership of a customs union, such as the EU, affects the pattern and volume of trade between countries.

[15 marks]

9.

'George Osborne talks about boosting exports and rebalancing the economy, but the Chancellor is not nearly as worried about the trade deficit as he is about the budget deficit.'

To what extent do you agree that a persistent trade deficit is more damaging to the UK's macroeconomic performance than a persistent budget deficit? Justify your answer.

[25 marks]

10.

Extract C (lines 2 – 4) asks: 'Is it time the UK considered manipulating its currency directly and managing its exchange rate in order to reduce the ever-increasing trade deficit and to help improve its performance?'

Using the data and your knowledge of economics, evaluate the view that the UK should focus its monetary policy on managing the exchange rate in order to improve macroeconomic performance.

[25 marks]

11.

It is now nearly a decade since the financial crisis caused a recession in the UK. In March 2009, the Monetary Policy Committee (MPC) set the UK Bank Rate at 0.5%, which was a record low, in order to stimulate economic growth.

Explain the main features of a recession.

[15 marks]

12.

The Office for Budget Responsibility (OBR) forecast that government spending would account for 36% of GDP by 2020 compared to 45% of GDP in 2010.

To what extent do you regard a contraction of the public sector to be beneficial for the UK economy? Justify your answer.

[25 marks]

13.

In January 2009, £1 could buy approximately 1.04 euros on the foreign exchange market. By July 2015, £1 could buy approximately 1.44 euros.

Evaluate the impact on the UK's macroeconomic performance of a sustained rise in the value of the pound sterling against the euro.

[25 marks]

14.

Extract C (lines 21 – 22) states: 'Any kind of deal between the EU and ASEAN economies is still a long way off, and the UK must wait to see how new trade deals affect its macroeconomic performance.'

Using the data and your knowledge of economics, evaluate the extent to which international agreements to increase free trade are likely to be beneficial to the UK's macroeconomic performance.

[25 marks]

15. In January 2009, £1 could buy approximately 1.04 euros on the foreign exchange market. By July 2015, £1 could buy approximately 1.44 euros.

Explain the factors that may lead to a rise in the exchange rate of a currency.

[15 marks]

16. **Extract F** (line 21) asks: 'Why are productivity rates in other economies important for the UK?'

Using the data and your knowledge of economics, evaluate the significance of productivity improvements in the UK **and** in other EU economies for the performance of the UK economy.

[25 marks]

17. INVESTIGATION

Scenario

You are an economist, employed by a firm of economic consultants working for the government. You have been asked to produce a report on the importance of manufacturing for the UK economy. As part of this investigation, you are to provide answers to three questions.

To what extent, if at all, do you consider that the UK manufacturing sector has been in decline since 2003? You must use the data in **Extract B** to support your assessment.

[10 marks]

18. Explain the term 'foreign direct investment' (**Extract E**, line 7) **and**, with the help of a diagram, analyse how foreign direct investment **and** improvements to infrastructure may boost productivity.

[9 marks]

19. Explain the term 'comparative advantage' (**Extract B**, line 17) **and**, with the help of a diagram, analyse **two** causes of increased globalisation in the world.

[9 marks]

20. Using the data in **Extract A**, calculate in £bn, the value of the UK's exports to Taiwan in 2014, if the total value of the UK's exports to the world in that year was £500bn.

[2 marks]

21. The table below shows how much of each of two products can be produced by two countries with the same amount of resources.

	Motorbikes		Cars
Brazil	10	or	5
United States	6	or	2

Which one of the following statements is correct?

- A Brazil has a comparative advantage in the production of both motorbikes and cars.
- B Brazil has a comparative advantage in the production of cars.
- C The opportunity cost of producing motorbikes is higher in the United States than Brazil.
- D Trade will not take place because Brazil is better at producing both goods.

☐☐☐☐

[1 mark]

22.

The table below shows the average exchange rate and currency valuation estimates for four nations in comparison to the US Dollar in January 2016.

	Average exchange rate to US \$1	Currency valuation estimate
Australian Dollar	1.46	Undervalued by 24%
Brazilian Real	4.05	Undervalued by 32%
Chinese Yuan	6.57	Undervalued by 46%
Danish Krone	6.84	Undervalued by 12%

Which one of the following can be concluded from the data?

- A The Australian Dollar has appreciated by 24% against the US Dollar.
- B The Brazilian Real has been devalued by 32% against the US Dollar.
- C The Chinese Yuan has depreciated the most against the US Dollar.
- D The Danish Krone has the closest purchasing power parity to the US Dollar.

☐☐☐☐

[1 mark]

23.

The Government has ruled out the possibility of a rise in VAT before 2020 but other indirect taxes may increase. It has also stated that the personal income tax allowance will be increased from £10 800 in 2015/16 to £12 500 by 2020, and plans to cut the main rate of corporation tax from 20% to 17%.

Explain how changes in both government spending **and** taxation might affect the level of economic activity.

[15 marks]

24.

The UK has seen significant changes in its pattern of trade with the rest of the world in terms of what we trade and with whom. The UK's current account deficit widened from £29.1bn in 2011 to £100.2bn in 2015. The deficit in 2015 was 5.4% of GDP, the largest annual deficit as a percentage of GDP since records began in 1948.

Explain the possible reasons for changes in the pattern of trade between the UK and the rest of the world.

[15 marks]

25.

Between 2011 and 2016, UK unemployment fell from a high of 8.5% to 4.8%. Some argue that government attempts to reduce unemployment inevitably lead to trade-offs with other macroeconomic policy objectives.

Discuss the view that falling unemployment will inevitably lead to trade-offs with other macroeconomic policy objectives.

[25 marks]

26.

Extract C (lines 2–3) states 'More recently, India has begun to use more market-based strategies to help its development, including liberalising trade and privatisation.'

Using the data in the extracts and your knowledge of economics, evaluate the view that greater use of market-based strategies is the best way to improve the economic development of India.

[25 marks]

27.

Globalisation can make some product markets more contestable.

Which one of the following characteristics of globalisation is the most likely explanation for such an increase in contestability?

- A A reduction in protectionism ☐
- B Greater synchronisation of economic cycles between countries ☐
- C Higher levels of labour migration ☐
- D The growth of employment in emerging market economies ☐

[1 mark]

28.

Extract B (lines 21) states 'Although some argue that a current account deficit is not a problem, others point to the worryingly large and persistent nature of the deficit.'

Using the data in the extracts and your knowledge of economics, assess the impact of a persistent current account deficit on the macroeconomic performance of the UK economy.

[25 marks]

29.

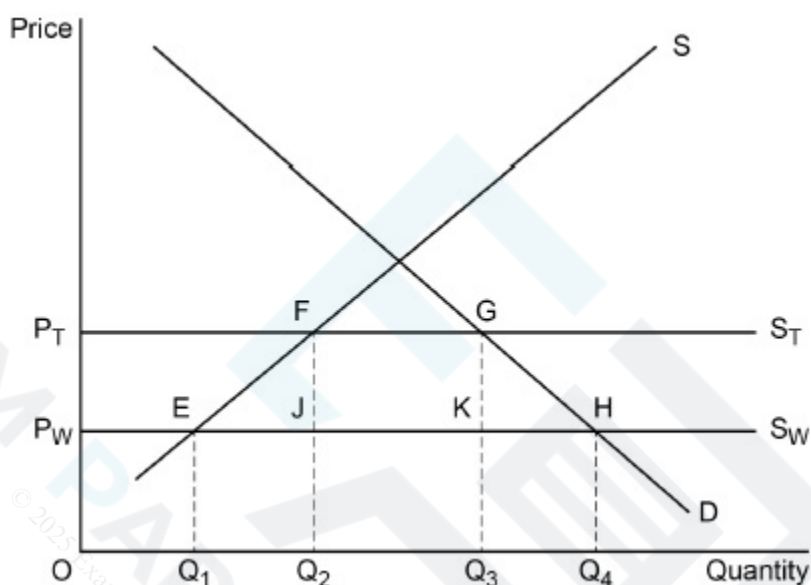
An African Development Bank report showed that Angola received more direct foreign investment than any other African country in 2015. Angola is a less economically developed country (LEDC) that has had fluctuating economic growth in the past. Despite having suffered from a long civil war which ended in 2002, many multinational corporations (MNCs) are now investing heavily in Angola's growing economy.

Evaluate the view that MNCs play a positive role in the development of LEDCs.

[25 marks]

30.

The diagram below shows the market demand curve (D), the market supply curve (S) for solar panels produced in a country, and the world market supply curve (S_W) for solar panels.



To protect domestic producers of solar panels the country introduces a tariff on imports. The imposition of the tariff increases the price of solar panels from the world market price (P_W) to the higher price (P_T).

Following the imposition of the tariff, the amount of tariff revenue collected by the government is shown by the area

- A EFGH
- B JFGK
- C $P_W P_T GK$
- D $Q_2 FG Q_3$

☐
☐
☐
☐

[1 mark]